

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

VISUAL COMFORT & CO., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD, *Respondent*.

DOCKET NO. 24-01

Served: February 10, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER REQUIRING RESPONDENT TO PERFORM SEARCHES THROUGH NOVEMBER 28, 2022

On January 24, 2025, I ordered Respondent to file an affidavit (or declaration) by February 7, 2025, by a knowledgeable witness regarding, among other things, electronic discovery searches Respondent performed. Respondent timely filed two declarations in response. After reviewing the declarations, it appears that Respondent used the date range of January 1, 2020, through December 31, 2021, to conduct electronic searches. Because Complainant seeks reparations for invoices dated January 9, 2021, through November 28, 2022, Respondent did not complete electronic searches and production for the relevant date range.

Accordingly, Respondent is **ORDERED** to: 1) extend the searches it described in its declarations filed February 7, 2025, through November 28, 2022; 2) Respondent is to apply the search terms described in its declarations filed February 7, 2025, to custodians Thomas Takase, Phil Taylor, and Chris Smith from January 1, 2020, through November 28, 2022; 3) no later than **March 12, 2025**, Respondent is to file an affidavit¹ of a knowledgeable witness describing with particularity the searches Respondent performed, including clarifying a) whether “Visual Comfort” was previously used as a search term (and if not, Respondent is to repeat its prior searches using “Visual Comfort,” as well as add “Visual Comfort” to its extended searches), b) the date range and search terms used to search perdiem@cosco-usa.com (to the extent Respondent did not utilize the agreed-upon search terms for the period January 1, 2020, through November 28, 2022, Respondent is to do so); 4) no later than **March 12, 2025**, Respondent is to produce to Complainant any additional documents located; 5) no later than **March 12, 2025**, Respondent is to file a description of any additional documents identified pursuant to this Order (e.g., the number of documents, the Bates range, to/from, general topic of documents, dates of documents).

¹ Wherever the main text requires an affidavit, I will also accept a declaration pursuant to 28 U.S.C. § 1746.

I will issue any necessary orders regarding additional permitted discovery and/or supplemental briefing after reviewing Respondent's filings of March 12, 2025.

I. BACKGROUND

Complainant initiated this matter on January 4, 2024. (*See* Complaint). It filed its operative Amended Complaint on February 6, 2024. (*See* Amended Complaint). In general, Complainant alleges that Respondent charged Complainant with over \$1.2 million in unjust and unreasonable detention, demurrage, per diem and yard storage charges in violation of § 41102(c), and unreasonably refused to deal or negotiate in violation of § 41104(a)(10). (Amended Complaint, at 3, 8).

On May 31, 2024, Complainant filed Complainant's First Motion to Compel Production of Documents ("First CMTC"). Among other things, Complainant requested production of documents responsive to Request for Documents No. 6 ("RFP6"), and Supplemental Request for Documents No. 5 ("SRFP5"). RFP6 states:

Produce all correspondence to or from Respondent and the parties identified in Claimant's and Respondent's Initial Disclosures during the relevant time period related to: (1) the number of "free days" offered to shippers and their freight forwarders in light of port congestion; (2) lack of return locations for empty containers; (3) delays clearing empty containers; (4) redirecting traffic to less congested ports; (5) whether terminals should remain designated as "open for returns," and; (6) the decision to continue to accept goods for receipt handling storage or deliver while [t]here was insufficient space in port(s).

In addition, SRFP5 states: "Produce all correspondence between Respondent and Complainant or RIM Logistics, Ltd. relating to demurrage, detention, per diem, and yard storage, including but not limited to free time, port congestion, equipment shortages, lack of appointments for container pick-ups and returns, return capacity at terminals, and restricted access to terminals." (First CMTC, at 3, 6).

On July 31, 2024, Judge Crovella, to whom this matter was originally assigned, issued a Memorandum Order on Motions to Compel (the "July 31 Order"). Regarding First CMTC, the July 31 Order noted that RFP6 and SRFP5 overlapped, and ordered Respondent to produce documents by August 14, 2024. (July 31 Order, at 2-3).

On September 12, 2024, Complainant sent a Notice of 30(b)(6) Deposition to Respondent. (Oliver Decl., Ex. 9). Schedule A sets forth ten topics. (*Id.*, at Schedule A). For present purposes, the most relevant one is Topic 10: "COSCO's practices, processes, and policies regarding the retention, collection, and production of documents for this litigation." (*Id.*).

On October 2, 2024, Respondent filed Respondent's Second Motion to Dismiss for Failure to Prosecute or to Dismiss Shipments not in the U.S. Foreign Trade and to Preclude Complainant's Untimely "Corrected" Expert Report ("MTD2"). In relevant part, MTD2 attached as Exhibit 1 a spreadsheet described as VCC 000005, "purporting to identify each and every shipment and charge as to which Complainant asserts a violation of the Shipping Act." (MTD2,

at 7). The spreadsheet identifies relevant invoices beginning January 9, 2021, and ending November 28, 2022. (*See* MTD2, Ex. 1).

The deposition of Mr. Thomas Takase, Respondent's 30(b)(6) deposition witness, occurred on October 9, 2024. (Oliver Decl., Ex. 5). When asked if he was prepared to testify regarding Respondent's practices regarding collection or production of documents for this case, Mr. Takase testified that he was not. (*Id.*, at 24-25). When asked if emails from shaperdiem@coscon.com were collected, he responded that he was not sure, but assumed that they were. (*Id.* at 28).

When the deposition ended for the day, the Complainant's attorney stated on the record that Complainant did not believe the witness was adequately prepared to testify regarding six deposition topics, including topic 10. (Oliver Dep., Ex. 5, at 160-64). In addition, Complainant's attorney made several document requests on the record, which Complainant's attorney agreed to send in writing. (*Id.* at 158-60, 166).

On October 10, 2024, Complainant's attorney sent an email to Respondent's counsel with several document requests. For present purposes, the most relevant are:

1. Please collect and search the email accounts SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com for communications and documents (a) from RIM Logistics, Inc., and (b) related to the container numbers on VCC000005 during the relevant time period. . .
6. Please apply previously agreed upon search terms to additional custodians who have relevant and responsive documents, including SHAPerDiem@conscon.com, Tom Takase, Phil Taylor, James Houghtalin, Paulina Wang, perdiem_CDS@coscon.com, perdiem@cosco-usa.com, and Chris Smith.

(Oliver Decl., Ex. 7).

On October 16, 2024, Complainant filed Complainant's Second Motion to Compel ("Second CMTC"), in which it argues that Respondent's 30(b)(6) witness was inadequately prepared, and Respondent failed to search adequately for documents responsive to its document requests, RFP6 and SRFP5, and that either the discovery period should be extended, or adverse inferences should be drawn from Respondent's failures. (*See generally* Second CMTC). Complainant indicated that the parties agreed to the following search terms:

- Each MBL# in excel spreadsheet "VCC 000005 VCC COSCO Charges by Container Number" AND rimlogistics" OR "sherdel" OR "knight."; and
- Each container number in "VCC 000005 VCC COSCO Charges by Container Number" AND "rimlogistics" or "sherdel" or "knight".
- "VCC"
- "Visual Comfort"

- “Generation Brands”

(Second CMTC, at 4). The Second CMTC, however, does not indicate the relevant period of time for the searches.

Respondent responded to the Second CMTC on October 23, 2024, arguing that the Complainant’s motion was meritless. (*See generally* Respondent’s Response to Complainants Second Motion to Compel Discovery and Motion to Extend Page Limits).

Complainant filed its Opening Brief and its Proposed Findings of Fact on November 8, 2024, and an Appendix on November 12, 2024. Complainant’s Appendix includes messages between Respondent and Complainant’s NVOCC, RIM Logistics, from December 28, 2020, through June 11, 2021, all of which have Respondent’s Bates numbering. (*See* Complainant’s Appendix, Exs. 6-12).

On December 9, 2024, the matter was reassigned to the undersigned. (*See* Notice of Reassignment). On December 19, 2024, I required a Joint Status Report to be filed December 30, 2024, regarding what remained to be decided from the Second CMTC. (*See* Order Requiring a Joint Status Report).

On December 30, 2024, the parties filed a consent motion to extend time to file a joint status report, which I granted. On December 31, 2024, rather than file a joint status report, as ordered, the parties filed separate status reports. (*See* Complainant’s Status Report and Status Report – Respondent’s Position). Despite being filed in contradiction of my order, I reviewed and considered the status reports. Neither status report indicates that the parties agreed to a relevant date range.

On January 24, 2025, I issued an Order Granting Complainant’s Second Motion to Compel in Part (the “January 24 Order”). In the January 24 Order, I ordered the following:

It is **HEREBY ORDERED** that Complainant’s Second Motion to Compel is **GRANTED IN PART**. It is

FURTHER ORDERED that no later than ***February 7, 2025***, Respondent shall file an affidavit from a knowledgeable witness who can: 1) describe what SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, and perdiem@cosco-usa.com are, and/or do (i.e., are they distribution lists, or do they store emails, or both?); 2) to the extent SHAPerDiem@conscon.com, perdiem_CDS@coscon.com, perdiem@cosco-usa.com are distribution lists, identify all locations to which emails or other electronic messages sent to said addresses are distributed, and verify that the distribution locations have been electronically searched; 3) identify all searches Respondent performed for documents responsive to RFP6 and SRFP5; 4) identify the search terms used when performing searches described in 2) or 3) above; and 5) describe generally any documents responsive to RFP6 and SRPF5 that have not yet been produced to Complainant. It is

FURTHER ORDERED that no later than *February 7, 2025*, Respondent is to produce any documents responsive to RFP6 or SRFP5 that have not yet been produced to Complainant. It is

FURTHER ORDERED that the remaining portions of Complainant's Second Motion to Compel will be decided at a future time.

(January 24 Order, at 7).

On February 7, 2025, Respondent filed two declarations, one by Yuriy Rabukhin, and one by Ashley Harper. The Rabukhin Declaration indicates that Respondent performed the following searches:

- a. Search 1:
 - i. Date range: January 1, 2020-December 31, 2021,
- b. Custodians: Every U.S. customer complaint portal:
 - 1. Fresh desk portal (LA/LB)
 - 2. Fresh desk portal (NAOC – Houston); and Headquarters
- c. Terms:
 - 1. Each MBL# in excel spreadsheet “VCC000005 and VCC COSCO Charges by Container Number” AND rimlogistics”² OR “Sherdel” or “knight.” . . .
 - 2. Each container number in “VCC000005 VCC COSCO Charges by Container Number” AND “rimlogistics” OR “Sherdel” or “knight” . . .
 - 3. “VCC”
 - 4. “Generation Brands”

(See Rabukhin Decl., at 1-2). The Harper Declaration indicates that the term “Visual Comfort” was included. (Harper Declaration, at 3-4). The Harper Declaration also indicates that Mr. Rabukhin searched perdiem@cosco-usa.com, but the Harper Declaration neither clarifies the date range used, nor the search terms used. (Harper Declaration, at 2).³ Both the Rabukhin

² The term “rimlogistics” is missing an initiating quotation mark in both Declarations. I assume that is a typographical error.

³ Respondent filed a Motion for Confidential Treatment along with the February 7, 2025, declarations, requesting some information regarding perdiem@cosco-usa.com remain confidential. I will rule on the Motion for Confidential Treatment in the future. The fact that the email address exists, however, is not confidential – it is in the footer of some of Respondent's electronic messages. (See Oliver Decl., Ex. 6, at COSCO_000222). Also, the fact that the email

Declaration and the Harper Declaration indicate that these searches yielded documents COSCO_000101 through COSCO_001860 that were produced on September 4, 2024. (*See* Rabukhin Decl., at 1-2; Harper Decl., at 4).

II. ANALYSIS

A party may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim, including documents. (46 C.F.R. § 502.141(e)(1)). The Commission's procedural rules are to be construed to secure the just, speedy, and inexpensive determination of every proceeding. (46 C.F.R. § 502.1).

Complainant claims it is entitled to reparations because of unjust and unreasonable detention and demurrage charges in violation of § 41102(c). Complainant also alleges that Respondent unreasonably refused to deal or negotiate in violation of § 41104(a)(10). (Amended Complaint, at 3, 8). Therefore, Complainant is entitled to discover documents relevant to its claims.

It appears that the parties have not expressly agreed to the relevant date range for documents. Indeed, neither Second CMTC, nor the status reports of December 31, 2024, discuss the relevant date range. (*See generally* Second CMTC; Complainant's Status Report; Status Report – Respondent's Position). Respondent performed searches from January 1, 2020, through December 30, 2021. (*See* Rabukhin Decl., at 1-2; Harper Decl., at 4). Complainant's spreadsheet, VCC 000005, identifies relevant invoices as being from January 9, 2021, through November 28, 2022. Therefore, in order to move this matter along to a just, speedy and inexpensive determination, I find that the relevant date range at issue is January 1, 2020, through November 28, 2022.

Respondent did not perform searches for this entire date range. Both the Rabukhin Declaration and the Harper Declaration indicate as much. (*See* Rabukhin Decl., at 1-2; Harper Declaration, at 3-4). In fact, Complainant's Appendix contains messages between Respondent and RIM Logistics from December 28, 2020, through June 11, 2021, all of which have Respondent's Bates numbering. (*See* Complainant's Appendix, Exs. 6-12). It appears, therefore, that Complainant is potentially missing numerous relevant documents because Respondent did not search the entire relevant date range.

Accordingly, I will require Respondent to conduct the appropriate searches and produce relevant documents. I will also require Respondent to file a general description of the documents located and produced so that I may issue further orders necessary to move this matter towards resolution. In addition, I will require Respondent to clarify whether it previously used the term "Visual Comfort" in conducting searches for documents from 2020 and 2021, as the February 7, 2025, declarations are in conflict on that point. (*Compare* Rabukhin Decl., at 1-2, *with* Harper Decl., at 3-4). If "Visual Comfort" was not used previously, prior searches are to be re-done using "Visual Comfort[.]" Moreover, searches into 2022 will use "Visual Comfort[.]" along with the other agreed-upon search terms. I will also require Respondent to clarify what searches were

address was searched for purposes of this matter is not confidential. It is unnecessary to discuss anything further regarding this email account for purposes of this Order.

performed regarding perdiem@cosco-usa.com. (Harper Declaration, at 2). Respondent is to confirm that all agreed-upon search terms were used vis-à-vis perdiem@cosco-usa.com for the date range January 1, 2020, through November 28, 2022.

Respondent will have 30 days, or until March 12, 2024, to provide the ordered information and produce any documents.

At this time, I do not address Respondent's Motion to Consider Respondent's Discovery Concerns Concurrently With Those of Complainant ("Respondent's Discovery Motion"). Respondent asserts that I failed "to recognize" Respondent's discovery concerns because of my "lack of familiarity with the past pleadings[.]" (Respondent's Discovery Motion, at 3). To the contrary, I have thoroughly studied the administrative record. I find the most pressing discovery concerns to be Respondent's continued failure to search for and locate documents that were ordered to be produced by Judge Crovella on July 31, 2024 (RFP6 and SRFP5), and Respondent's failure to prepare adequately its 30(b)(6) witness regarding Respondent's document collection and production. (*See* January 24, 2025, Order, at 5-6). Respondent must produce documents responsive to this order by March 12, 2024. An extension will not be granted barring extraordinary circumstances. Failure to respond timely may result in adverse consequences to Respondent.

As discussed in the January 24, 2025, Order, I do not address the other issues raised in the Second CMTC at this time.

I will issue further orders as necessary after I review Respondent's March 12, 2025, filings.

III. ORDER

It is **HEREBY ORDERED** that Respondent is to extend the searches it described in its declarations filed February 7, 2025, through November 28, 2022. It is

FURTHER ORDERED that Respondent is to apply the search terms described in its declarations filed February 7, 2025, to custodians Thomas Takase, Phil Taylor, and Chris Smith from January 1, 2020, through November 28, 2022. It is

FURTHER ORDERED that no later than **March 12, 2025**, Respondent is to file an affidavit of a knowledgeable witness describing with particularity the searches Respondent performed, including clarifying a) whether "Visual Comfort" was previously used as a search term (and if not, Respondent is to repeat its prior searches using "Visual Comfort," as well as add "Visual Comfort" to its extended searches), b) the date range and search terms used to search perdiem@cosco-usa.com (to the extent Respondent did not utilize the agreed-upon search terms for the period January 1, 2020, through November 28, 2022, Respondent is to do so). It is

FURTHER ORDERED that no later than **March 12, 2025**, Respondent is to produce to Complainant any additional documents located. It is

FURTHER ORDERED that no later than **March 12, 2025**, Respondent is to file a description of any additional documents identified pursuant to this Order (*e.g.*, the number of documents, the Bates range, to/from, general topic of documents, dates of documents).

Richard C.
Ambrow Jr -S

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Richard C. Ambrow Jr -S
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Richard Ambrow
Administrative Law Judge